

USMCA Joint Review: Process and Role of Congress

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Introduction

The United States-Mexico-Canada Agreement (USMCA) is a trilateral free trade agreement (FTA) that outlines rules for duty-free trade among the eponymous three countries as well as commitments on non-tariff issues, including labor, environment, investment, digital trade, and services. Following Congress's approval of USMCA in the USMCA Implementation Act (P.L. 116-113), USMCA entered into force on July 1, 2020, replacing the 1994 North American Free Trade Agreement (NAFTA).¹ Congress, in both its legislative and oversight capacities, was active in numerous trade policy issues related to the negotiations and conclusion of USMCA and continues to be active in overseeing its implementation.

A key issue for the 119th Congress is the “joint review” of USMCA. The joint review is specified within the “review and term extension” provision² (sometimes referred to as a “sunset clause”)—the first time such a provision has been included in any U.S. FTA. USMCA is scheduled to terminate 16 years after its entry into force (July 1, 2036) unless all three member countries confirm that they wish to continue the agreement through a “joint review” process. The parties committed in the text of the agreement to begin the first joint review on the sixth anniversary of the agreement's entry into force (July 1, 2026).³ At the July 2026 joint review, the United States declined to renew USMCA in its current form. The agreement is to remain in force until all parties agree to extend it or it expires in 2036.

The establishment of a USMCA joint review provision was controversial. In hearings that took place during USMCA negotiations, Members of Congress expressed doubts about adding a mandatory review clause to USMCA, arguing that such a provision would create uncertainty that could discourage private investment and harm U.S. businesses.⁴ Some Members questioned whether the sunset clause provision may circumvent congressional authorities related to trade agreements.⁵ Then-U.S. Trade Representative (USTR) Robert Lighthizer argued that the USMCA joint review process allows Congress to exert greater oversight than “eternal” FTAs that lack a mechanism for periodic review of an agreement.⁶

The USMCA Implementation Act includes congressional consultation requirements related to the joint review process.⁷ Congress may consider whether, and if so, how, to shape U.S. priorities for and approaches to the USMCA joint review going forward. If there are significant revisions to USMCA resulting from discussions related to the 2026 joint review or future joint reviews, Congress may have a role in approving a revised agreement.

¹ The USMCA Implementation Act was signed into law on January 29, 2020. For more details on the North American Free Trade Agreement (NAFTA), see CRS In Focus IF10047, *North American Free Trade Agreement (NAFTA)* CRS Report R44981, *The United States-Mexico-Canada Agreement (USMCA)*.

² Agreement between the United States of America, the United Mexican States, and Canada (USMCA), art. 34.7.

³ USMCA, art. 34.7.2.

⁴ See, for example, U.S. Congress, House Committee on Ways and Means, *Hearing on U.S. Trade Policy Agenda*, committee print, 115th Cong., 2nd sess., March 21, 2018, 115-FC08, pp. 25, 72, 89, 95; and U.S. Congress, Senate Committee on Finance, Subcommittee on International Trade, Customs, and Global Competitiveness, *Modernization of the North American Free Trade Agreement (NAFTA)*, hearing, 115th Cong., 1st sess., November 20, 2017, S.Hrg. 115-412 (GPO, 2018), p. 7.

⁵ U.S. Congress, House Committee on Ways and Means, *Hearing on the 2019 Trade Policy Agenda: Negotiations with China, Japan, the EU, and UK; new NAFTA/USMCA; U.S. Participation in the WTO; and Other Matters*, hearing transcript, 116th Cong., 1st sess., June 19, 2019, pp. 119-121.

⁶ House Committee on Ways and Means, *Hearing on the 2019 Trade Policy Agenda: Negotiations with China, Japan, the EU, and UK; new NAFTA/USMCA; U.S. Participation in the WTO; and Other Matters*, hearing transcript, p. 120.

⁷ P.L. 116-113 §611.

For additional background on the negotiation of USMCA, see CRS Report R48964, *USMCA Joint Review: Background on Prior Negotiations and Selected Issues for Congress*.

USMCA Joint Review Provision (Article 34.7)

While negotiating the USMCA terms, officials in the first Trump Administration proposed a five-year “sunset clause” and stated that the President would decide whether or not to continue the agreement five years after the agreement went into effect.⁸ An Office of the U.S. Trade Representative (USTR) official at the time argued that such a sunset clause would prevent agreements from becoming “out of date” and that “it takes a fair amount of political pressure in order to get nations to come together and work on these agreements.”⁹ Canadian and Mexican officials opposed the initial U.S. “sunset clause” proposal, maintaining it would create uncertainty for investment and other economic activity.¹⁰

The three parties eventually agreed on a 16-year term for USMCA, with a required joint review to decide whether to renew the agreement.¹¹ As described below, USMCA broadly outlines certain aspects of the joint review related to timeline and procedure. The July 2026 joint review of USMCA was the first time that the United States conducted such a process in relation to an FTA. As such, there is no precedent for how the President or Congress may approach the scope of the review and the U.S. domestic process and trilateral process for conducting it.

According to Article 34.7 of USMCA, the parties were to meet on the sixth anniversary of the USMCA’s entry into force (i.e., on July 1, 2026) for the first joint review.¹² If a party wished to make changes to the agreement, it was to provide recommendations at least one month before the joint review.¹³ If a party wished to extend the agreement, it was to “confirm, in writing, through its head of government.”¹⁴ If all parties agreed to an extension, USMCA would have been “automatically” extended for another 16 years and the next joint review would have been conducted no later than the end of the next six-year period (i.e., on or before July 1, 2032).

If any party does not agree to extend USMCA at a six-year joint review, the agreement requires the parties to conduct additional annual joint reviews until such time that all parties agree to extend the agreement for another 16-year period (the parties are then to meet six years after the joint review in which the extension was agreed to¹⁵) or until USMCA terminates.¹⁶ The joint review process is separate from USMCA’s withdrawal provisions, which allow any party to withdraw from the agreement with six months’ written notice to the other parties.¹⁷

⁸ U.S. Congress, House Committee on Ways and Means, *Hearing on U.S. Trade Policy Agenda*, committee print, 115th Cong., 2nd sess., March 21, 2018, 115-FC08, pp. 25-26.

⁹ U.S. Congress, Senate Committee on Finance, Subcommittee on International Trade, Customs, and Global Competitiveness, *Modernization of the North American Free Trade Agreement (NAFTA)*, 115th Cong., 1st sess., November 20, 2017, S.Hrg. 115-412 (GPO, 2018), p. 7.

¹⁰ Gary Hufbauer and Steven Globerman, *The United States–Mexico–Canada Agreement: Overview and Outlook*, Fraser Institute, November 2018, p. 3.

¹¹ USMCA, art. 34.7.

¹² USMCA, art. 34.7.2.

¹³ USMCA, art. 34.7.2.

¹⁴ USMCA, art. 34.7.3.

¹⁵ USMCA, art. 34.7.6.

¹⁶ USMCA, art. 34.7.4, art. 34.7.5, and art. 34.7.6.

¹⁷ USMCA, art. 34.6. For more information, see CRS Report R47679, *Congressional and Executive Authority Over Foreign Trade Agreements*, by Christopher T. Zirpoli.

On July 1, 2026, Canada and Mexico affirmed their support for renewing USMCA.¹⁸ According to a statement from USTR Greer, “the United States did not agree to renew the USMCA in its current form.”¹⁹ Greer stated that the “United States will continue to engage with Mexico and Canada to address the Agreement’s shortcomings and our trade deficits with these countries,” and that USMCA “remains in force pending resolution of these issues or until the Agreement’s termination.”

The Role of Congress in the Joint Review

The USMCA Implementation Act (P.L. 116-113) requires the President to consult with certain congressional committees (i.e., the House Ways and Means Committee and Senate Finance Committee) and other stakeholders before each joint review with respect to “any recommendation for action to be proposed” at the joint review and “whether or not to confirm that the United States wishes to extend” USMCA.²⁰ The law also instructs USTR to issue a notice in the *Federal Register* at least 270 days before a joint review to solicit public comments and to hold a public hearing for a presentation of views.²¹ Ahead of the July 2026 review, USTR issued a *Federal Register* notice on September 17, 2025, and held a public hearing from December 3 to December 5, 2025.²²

The law also states that at least 180 days before a six-year joint review, USTR must report to the appropriate congressional committees its (1) assessment of the operation of USMCA; (2) precise recommendations for actions to be proposed at the joint review; (3) the U.S. position on whether to extend USMCA; (4) what, if any, prior efforts have been made to resolve concerns underlying such recommendations and position; and (5) the views of trade advisory committees regarding such recommendations/position.²³ The trade advisory committees were established under Section 135 of the Trade Act of 1974 (19 U.S.C. §2155) and include representatives from the private sector, labor unions, nongovernmental organizations, and other U.S. stakeholders.

In December 2025, USTR Jamieson Greer reported to the House Ways and Means Committee and Senate Finance Committee and asserted that these meetings held by USTR fulfilled aforementioned consultation requirements.²⁴ Some Members of Congress sought a written report on the proceedings. In USTR Greer’s publicly available opening remarks to the committees

¹⁸ Government of Canada, Global Affairs Canada, “Statement by Minister LeBlanc Following Trilateral CUSMA Joint Review Meeting,” July 1, 2026; and Gobierno de México, “Quinta Reunión de la Comisión de Libre Comercio del T-MEC Proceso de Revisión Conjunta Previsto en el Artículo 34.7,” July 1, 2026. In Canada and Mexico, USMCA is referred to as CUSMA and T-MEC, respectively.

¹⁹ Office of the U.S. Trade Representative (USTR), “Ambassador Greer Issues Statement on the USMCA Joint Review,” July 1, 2026.

²⁰ P.L. 116-113 §611(a). For discussion of whether congressional approval is needed for the decision of whether or not to extend the term of USMCA, see CRS Report R47679, *Congressional and Executive Authority Over Foreign Trade Agreements*, by Christopher T. Zirpoli.

²¹ P.L. 116-113 §611(b)(1).

²² USTR, “Request for Public Comments and Notice of Public Hearing Relating to the Operation of the Agreement Between the United States of America, the United Mexican States, and Canada,” 90 *Federal Register* 44869, September 17, 2025; and USTR, “Public Hearing on the First Joint Review of the USMCA,” December 1, 2025, <https://ustr.gov/about/policy-offices/press-office/press-releases/2025/december/public-hearing-first-joint-review-usmca>.

²³ P.L. 116-113 §611(b)(2).

²⁴ USTR Jamieson Greer, “Opening Statement for House Ways and Means and Senate Finance Committees,” December 16 and 17, 2025, <https://ustr.gov/sites/default/files/files/Press/Releases/2025/Ambassador%20Greer%20Reported%20to%20Congress%20on%20the%20Operation%20of%20the%20USMCA.pdf>.

during the closed-door briefings, he assessed USMCA, recommended action on bilateral and trilateral issues, described efforts undertaken to resolve concerns, and presented views of the trade advisory committees.²⁵

According to the USMCA Implementation Act, USTR is required to engage with Congress following a joint review, including in the case that not all USMCA parties agree to extend the term of the agreement. USTR is to brief the appropriate congressional committees regarding the countries' positions and any actions that the countries agreed to "not later than 20 days after the USMCA countries have met for a joint review."²⁶ USTR is also to "keep the appropriate congressional committees timely apprised of any developments arising out of or related to the review."²⁷ If a country does not confirm that it wishes to extend USMCA, "at least 70 days before any subsequent annual joint review meeting," USTR is to report to the appropriate congressional committees regarding any reason provided for the lack of agreement, progress made to achieve resolution of the country's concerns, any proposed action that USTR intends to raise during the upcoming joint review meeting, and views of the trade advisory committees.²⁸ USTR is also to "provide detailed and timely information in response to any questions posed by the appropriate congressional committees" regarding a joint review meeting, including by submitting to the committees copies of any proposed text of the agreement that USTR plans to submit to Canada and Mexico at the meeting.²⁹

Following the United States' decision to not renew USMCA in its current form, under USMCA, the parties must now engage in annual joint reviews until either they agree to renew USMCA or the agreement expires. The USMCA does not specify the format or timeline of annual joint reviews. To date, the three parties have not announced a format or date for forthcoming annual reviews of USMCA. In a Senate Finance Committee hearing on trade policy in July 2026, USTR Greer indicated that USTR may have "options for ... interim arrangements" by the end of 2026.³⁰ The United States and Mexico continue to engage in rounds of bilateral negotiations related to the joint review.³¹ To date, the United States and Canada have not announced official negotiations related to the joint review. U.S.-Canada bilateral trade tensions have increased following the August 2026 U.S. imposition of 50% tariffs on certain Canadian products to "offset Canadian discrimination" against U.S. commerce and Canadian countermeasures.³²

Some Members of Congress and U.S. industry groups expressed support for the Trump Administration's decision to negotiate with Canada and Mexico to improve USMCA rather than renewing USMCA in its current state.³³ At the same time, some of these Members and groups expressed support for USMCA, including the economic benefits for the United States and the importance of maintaining stable access to Canadian and Mexican markets, and emphasized that

²⁵ USTR Greer, "Opening Statement for House Ways and Means and Senate Finance Committees," December 16 and 17, 2025.

²⁶ P.L. 116-113 §611(d)(1).

²⁷ P.L. 116-113 §611(d)(2).

²⁸ P.L. 116-113 §611(c)(1).

²⁹ P.L. 116-113 §611(c)(2).

³⁰ U.S. Congress, Senate Committee on Finance, *Hearing on the President's 2026 Trade Policy Agenda*, 119th Cong., 2nd sess., July 22, 2026.

³¹ USTR, "Joint Statement from Ambassador Jamieson Greer and Mexican Secretary of Economy Marcelo Ebrard," press release, July 23, 2026.

³² For more information, see CRS Report R49349, *U.S. Tariffs on Canadian Imports: Section 338 of the Tariff Act of 1930*, by Kyla H. Kitamura.

³³ USTR, "American Farmers, Ranchers, Manufacturers, and Businesses Applaud President Trump for Not Rubber Stamping the USMCA," July 2, 2026.

the U.S. decision not to renew was an opportunity to strengthen the agreement. For example, House Ways and Means Committee Chairman Jason Smith stated, “The Trump Administration rightfully has taken this review process seriously, and I am confident that President Trump will continue to fight every day for American workers and job creators by maintaining his legacy of a revised USMCA as the gold standard trade agreement.”³⁴ In a letter to USTR Greer, Representative Rick Larsen expressed support for continuing USMCA and fully enforcing the provisions of the agreement to create jobs and lower prices.³⁵

Other Members support reviewing USMCA while also expressing concerns about the Trump Administration’s approach to the review and trade relations with Canada and Mexico. For example, House Ways and Means Committee Ranking Member Richard Neal stated that USMCA “is reflective of the will of Congress”; he also commented, “the American people cannot afford more trade chaos, higher costs, and missed opportunities simply because this Administration mistakes their way for the best way. Let’s do right by the people and follow the review process as outlined over six years ago.”³⁶

Issues for Congress

Congress may consider whether and how to engage on the USMCA joint review following the United States’ decision to not agree to extend USMCA in its current form. Congress is the branch constitutionally authorized to regulate commerce with foreign nations and may decide whether revisions to USMCA should require congressional approval.³⁷ Revisions to the agreement that would require changes to U.S. law would require Congress to enact implementing legislation. Congress may consider whether to exercise its constitutional authority over trade related to changes to USMCA that do not require changes to U.S. law. Congress could also consider whether to delegate additional negotiating authority to the executive branch. Congress approved USMCA and enacted its implementing legislation under rules set out in the Bipartisan Congressional Trade Priorities and Accountability Act of 2015 (TPA-2015; P.L. 114-26, Title 1), which expired in 2021.³⁸ Under TPA-2015, Congress specified negotiating objectives and consultation requirements and allowed expedited consideration of implementing legislation for FTAs that sufficiently addressed those objectives and requirements. Congress could consider legislation adopting similar requirements, or, in the absence of such legislation, may consider whether and how to set priorities for the Administration for six-year joint reviews and annual joint reviews, and how any required implementing legislation may be voted on.

Congress may also consider to what extent the Administration satisfied its statutorily required consultation requirements with Congress and other stakeholders prior to and following the July 1, 2026, joint review. Congress could also consider amending the USMCA implementing legislation to clarify or strengthen Congress’s role in the joint review process, such as whether to add

³⁴ House Ways and Means Committee Chairman Jason Smith, “Chairman Smith on USMCA Negotiations: Any Future Agreement Must Close Loopholes, Level the Playing Field for American Workers and Manufacturers,” July 1, 2026.

³⁵ Letter from Rep. Rick Larsen to USTR Greer, July 1, 2026, https://larsen.house.gov/uploadedfiles/larsen_usmca_joint_review_letter_july_2026.pdf.

³⁶ House Ways and Means Committee Ranking Member Richard Neal, “Neal Statement on the Trump Administration’s Decision to Not Renew USMCA,” July 1, 2026.

³⁷ U.S. Const. art. I, §8, cl. 1, 3. For more information, see CRS Report R47679, *Congressional and Executive Authority Over Foreign Trade Agreements*, by Christopher T. Zirpoli.

³⁸ For more on trade promotion authority, see CRS In Focus IF10038, *Trade Promotion Authority (TPA)*, by Christopher A. Casey and Cathleen D. Cimino-Isaacs.

additional congressional reporting requirements or specify whether reports should be submitted orally, in writing, or both.

As part of its oversight of U.S. trade relations with Canada and Mexico, Congress may also assess how proposed changes to the agreement might affect the U.S. economy, the competitiveness of North American integrated industries, and broader U.S. relations with Canada and Mexico. Because USMCA is the first U.S. FTA to undergo a joint review, there is no precedent for the scope and objectives of negotiations held related to the review process. The parties may choose to address long-standing and/or new bilateral and trilateral issues, which may require revising some USMCA provisions or adding new language on areas not currently addressed in USMCA. The parties may also choose to discuss certain bilateral or trilateral issues separately from the joint review process. Congress may consider whether and how to weigh in on the issues to be discussed as part of the review. Some Members of Congress have written letters to the Administration with recommendations for issues to be addressed during the joint review.³⁹ In his December 2025 meetings with Congress, USTR Greer highlighted some potential topics for the joint review, including

- bilateral trade issues such as dairy, digital services, and provincial bans on the distribution of U.S. alcohol (Canada); and agriculture, labor, and energy (Mexico);⁴⁰ and
- potential revisions to the rules for duty-free trade among USMCA partners (“rules of origin”).⁴¹

Congress may also debate whether the USMCA joint review is the appropriate forum for some issues, particularly long-standing bilateral disputes or discussions related to tariffs implemented by the United States under authorities that Congress delegated to the executive branch, such as

- current tariffs on most U.S. imports, including on Canadian and Mexican goods, under Section 301 of the Trade Act of 1974 (19 U.S.C. §§2411-2420), and potential additional tariffs under Section 301;⁴²
- current tariffs and proposed import bans on some U.S. imports from Canada under Section 338 of the Tariff Act of 1930 (19 U.S.C. § 1338);⁴³ and
- current and potential global national security tariffs on certain sectors under Section 232 of the Trade Expansion Act of 1962 (19 U.S.C. §1862, as amended) that affect Canadian and Mexican products.⁴⁴

³⁹ See, for example, letter from Rep. Rudy Yakym et al. to USTR Greer, August 6, 2026, <https://yakym.house.gov/sites/evo-subsites/yakym.house.gov/files/migrated/uploads/2026/08/FINAL-08-06-2026-Letter-to-USTR-RE-USMCA-Joint-Review.pdf>; and letter from Rep. Linda Sanchez et al. to USTR Greer, May 18, 2026, <https://lindasanchez.house.gov/media-center/press-releases/ways-and-means-democrats-lay-out-priorities-upcoming-usmca-review>.

⁴⁰ For more details, see CRS In Focus IF12595, *U.S.-Canada Trade Relations*, by Kyla H. Kitamura; and CRS In Focus IF11175, *U.S.-Mexico Trade Relations*, by Danielle M. Trachtenberg.

⁴¹ For more information, see CRS In Focus IF10754, *Rules of Origin*, by Liana Wong; and CRS In Focus IF12082, *USMCA: Automotive Rules of Origin*, by Liana Wong and Kyla H. Kitamura.

⁴² For more information, see CRS In Focus IF11346, *Section 301 of the Trade Act of 1974*, by Danielle M. Trachtenberg.

⁴³ For more information, see CRS Report R49349, *U.S. Tariffs on Canadian Imports: Section 338 of the Tariff Act of 1930*, by Kyla H. Kitamura.

⁴⁴ For more information, see CRS In Focus IF13006, *Section 232 of the Trade Expansion Act of 1962*, by Kyla H. Kitamura.

Congress may also consider whether to utilize other legislative tools to influence the USMCA joint review process. For example, Congress could express its views through consideration of appropriations, authorizations, or legislative directives for USTR.⁴⁵ Congress may also consider whether to bolster or curb presidential authorities related to the imposition of tariffs on imports from Canada and Mexico under authorities such as Section 232, Section 301, and Section 338. Tariffs imposed on imports from Canada and Mexico under these authorities are separate from USMCA, which continued the duty-free trade for most products established in NAFTA. For example, Congress could pass legislation to codify the higher tariff rates to further incentivize compliance with USMCA rules, or Congress could pass legislation to eliminate those tariffs for Canada and Mexico to emphasize the importance of continued duty-free trade in North America.

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⁴⁵ For more details, see CRS Report R48884, *Office of the U.S. Trade Representative: Overview and Issues for Congress in Brief*, by Shayerah I. Akhtar; and CRS Report R48733, *Trade-Related Agencies: FY2026 Appropriations, Commerce, Justice, Science, and Related Agencies (CJS)*, by Keigh E. Hammond.